

23SMCV04908 23SMCV04908

County: los-angeles

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TENTATIVE

RULING

DEPARTMENT

207

HEARING DATE

August

26, 2026

CASE NUMBER

23SMCV04908

MATTER

Request

for Default Judgment

This case arises from a dispute concerning an alleged fraudulent Ponzi

scheme.

On October 17, 2023, Plaintiffs Gar Lee, Trustee of the Gar Yin Lee

Charitable Remainder Unitrust; Acquisition Science; Zach Goldberg, Trustee of

the Zach Goldberg Charitable Remainder Unitrust; and Advance the World

(collectively, "Plaintiffs") brought suit against Defendants Bruce Francis

Majeski; Kristine Taylor (originally named as Kristine Taylor Appel); Ron

Appel; Kristine Taylor Philanthropies; TLC Escrow Services, Inc.; Helpuloan,

LLC aka Helpuloans aka Help U Loan aka Help U Loans; Sovereign Wealth

Preservation, Inc.; Phil Anthropy House; My Philanthropies; B & B Economic

Development, LLC; KAB Holdings, Inc.; Seagate Holdings, Inc.; CFO Advisor; and

Orion House (collectively, "Defendants") alleging twelve causes of action as

follows:

(1)

Constructive fraud

(2)

Fraudulent concealment

(3)

Deceit

(4)

Violation of California Corporations Code sections

25401 and 25501

(5)

Breach of fiduciary duty

(6)

Breach of contract

(7)

Breach of the covenant of good faith and fair dealing

(8)

Conversion

(9)

Fraudulent transfers

(10)

Aiding and abetting

(11)

Rescission under section 215 of Investment Advisors Act

of 1940

(12)

Violation of Rule 10(b) of the Exchange Act of 1934 and

Rule 10b-5 [15 U.S.C. Section 78J(b) and 17 C.F.R. Section 240.10-B-5]

Kristine Taylor, Ron Appel, Kristine Taylor Philanthropies, and

Seagate Holdings answered the Complaint on January 8, 2024.

As for the Defaulted Defendants, Sovereign Wealth Preservation was

served by personal service on December 6, 2023.

Orion House was served by personal service on December 6, 2023. Majeski, Helpuloan, Philanthropy House, Kab

Holdings, My Philanthropies, CFO Advisor, and TLC Escrow were served via

substitute service on January 3, 2024.

Default was entered against Sovereign Wealth Preservation on January

31, 2024; against Orion House on April 3, 2024; and against Majeski, TLC

Escrow, Helpuloan, Philanthropy House, My Philanthropies, Kab Holdings, and CFO

Advisor on March 5, 2024.

Plaintiffs apparently had difficulty serving B&B. On May 29, 2024, the Court granted Plaintiffs'

motion for an order to serve B & B via the Secretary of State. Subsequently, Plaintiffs served B&B via

the Secretary of State on June 4, 2024.

Default was never properly entered against B&B. On June 2, 2025, Plaintiffs filed a request

for dismissal of the Complaint without prejudice as to B&B Economic

Development, LLC, which the clerk entered on June 3, 2025.

On June 17, 2024, the Court granted Plaintiffs' motion for leave to

amend the complaint. On July 3, 2024,

Plaintiffs filed the First Amended Complaint ("FAC") against the same

Defendants alleging the same twelve causes of action, and adding a thirteenth

cause of action for quasi-contract.

However, there are no proofs of service demonstrating that the FAC was served on any party.

On May 6, 2025, Plaintiffs filed a request for dismissal of the First Amended Complaint with prejudice as to Ron Appel, Kristine Taylor, Seagate Holdings, and Kristine Taylor Philanthropies, which the clerk entered on May 7, 2025.

On March 10, 2026, Plaintiffs requested dismissal of the Doe Defendants, which the Court entered on March 11, 2026.

Now, Plaintiffs request default judgment against Defendants Majeski, TLC Escrow Services, Helpuloan, Sovereign Wealth Preservation, Phil Anthropy House, My Philanthropies, Kab Holdings, CFO Advisor, and Orion House in the amount of \$6,688,348.40, representing \$1,675,000 as demanded in both the Complaint and FAC; \$4,400,000 in special damages; prejudgment interest in the amount of \$401,996.40; costs in the amount of \$1,926.50; and attorneys' fees in the amount of \$209,426.50.

As a threshold matter, the Court notes that the amounts requested add up to \$6,688,349.40, not \$6,688,348.40, as requested.

Further, Plaintiffs have requested default judgment as to both the original Complaint and as to the FAC. To

the extent Plaintiffs seek default judgment on the original Complaint, it is denied, as the original Complaint was superseded by the filing of the First Amended Complaint. (Foxen v. Carpenter (2016) 6 Cal.App.5th 284, 295 [“Generally, an amended pleading supersedes the prior pleading.”]) Further, to the extent Plaintiffs seek default judgment under the First Amended Complaint, it cannot yet be granted, because there is no evidence that the amended complaint was properly served on any party.

A. Damages

As discussed above, both Plaintiffs' original Complaint and the FAC seek \$1,675,000 in special damages. Yet, Plaintiffs now seek special damages in the amount of \$1,675,000 demanded in the complaint PLUS \$4,400,000. Therefore, the Court cannot award special damages in excess of this amount. (See Code Civ. Proc., § 580, subd. (a) [“The relief granted to the plaintiff, if there is no answer, cannot exceed that demanded in the complaint”]; Levine v. Smith (2006) 145 Cal.App.4th 1131, 1136-1137 [“when recovering damages in a default judgment, the plaintiff is limited to the damages specified in the complaint”].)

In support of the request, Plaintiffs advance the

Declaration of Gar Lee, which provides:

23. Between 2018 and 2021, I transmitted

approximately \$452,000 individually and through the LEE TRUST to MAJESKI, and approximately \$858,000 to MAJESKI through ACQUISITION, believing he was purchasing trust deeds in at least seven separate properties.

32. On or around November 30, 2018, MAJESKI contacted me either orally or in writing regarding a potential investment in 4275 Luther St., Riverside, CA 92506 (the "Luther Property"). In or around 2018, I transferred MAJESKI \$160,000 and another \$100,000 in or around October, 2021. I made these investments through ACQUISITION and the LEE TRUST. I have attached as Exhibit "1" hereto a true and correct copy of the wire transfer receipts from 11/30/2018, 12/18/2018, and 10/21/2021 totaling \$260,000.)

33. MAJESKI became the owner of the Luther Property in or around 2013. MAJESKI then, through B&B, recorded a long form deed of trust in favor of KAB (the MAJESKI company) for a maximum of \$150,000. MAJESKI then assigned 58% of the KAB note to ACQUISITION and 15.33% of the same note to the LEE TRUST. MAJESKI signed both notes as an officer of B&B (the "borrower" in this transaction).

34. MAJESKI subsequently had KAB foreclose on B&B, and B&B transferred the property to KAB Holdings. MAJESKI then had CFO provide a "new loan" to KAB, and purported to sell fractional interests in a deed of trust secured by that loan to Ung and Ly-Ung, other victims of

MAJESKI.

35. KAB sold the Luther Property in or around

April, 2022. Despite this sale, MAJESKI continued to make "interest payments"

to me and my entities until approximately March of 2023, when MAJESKI ceased

all payments to me and my entities. On information and belief, MAJESKI's

"interest" payments to me were always comprised of my principal investment and

the principal investments of other victims.

36. On or around September 25, 2018, MAJESKI

contacted me either orally or in writing regarding a potential investment in

4445 Cartwright #207, North Hollywood, CA 91602 (the "Cartwright Property"). In

or around 2018, I transferred MAJESKI \$19,000 through the LEE TRUST.

39. MAJESKI continued to make "interest payments"

to the LEE TRUST until approximately March of 2023, when MAJESKI ceased all

payments to me and my entities. On information and belief, MAJESKI's "interest"

payments to me were always comprised of my principal investment and the

principal investments of other victims.

40. On or around January 29, 2019, MAJESKI

contacted me either orally or in writing regarding a potential investment in

251 Camellia Lane, Costa Mesa, CA 92627, APN 42614310 (the "Camellia

Property"). In or around January or February, 2019, I transferred MAJESKI

\$100,000 through the LEE TRUST and ACQUISITION. I have attached as Exhibit "2"

hereto a true and correct copy of the wire transfer receipt evidencing part of
this transfer.

44. MAJESKI continued to make "interest payments"

to the LEE TRUST and ACQUISITION until approximately March of 2023, when

MAJESKI ceased all payments to me and my entities. On information and belief,

MAJESKI's "interest" payments to me were always comprised of my principal

investment and the principal investments of other victims.

45. On or around April, 2019, MAJESKI contacted

me either orally or in writing regarding a potential investment in 6682

Magnolia Avenue, Riverside, CA, APN 225-203-002 (the "Magnolia Property"). In

or around the following dates and times, I transferred MAJESKI the following

amounts through the LEE TRUST and ACQUISITION: April 2019 (\$50,000); May 2019

(\$14,000); May 2019 (\$30,000); April 2020 (\$85,000), April 2020 (\$30,000) and

July 2022 for \$100,000, for a total of \$309,000. I have attached as Exhibit "3"

hereto a true and correct copy of the wire transfer receipts evidencing these
payments.

48. MAJESKI continued to make "interest payments"

to the LEE TRUST and ACQUISITION until approximately March of 2023, when

MAJESKI ceased all payments to me and my entities. On information and belief,

MAJESKI's "interest" payments to me were always comprised of my principal investment and the principal investments of other victims.

49. On or around September, 2019, MAJESKI

contacted me either orally or in writing regarding a potential investment in

33582 Palo Alto Street, Dana Point, CA 92692, APN 12139106 (the "Palo Alto

Property"). In or around September, 2019, I transferred MAJESKI \$100,000

through the LEE TRUST and ACQUISITION. I have attached as Exhibit "4" hereto a

true and correct copy of the domestic wire transfer receipt to TLC Escrow

Services for this amount.

52. MAJESKI continued to make "interest payments"

to the LEE TRUST and ACQUISITION until approximately March of 2023, when

MAJESKI ceased all payments to me and my entities. On information and belief,

MAJESKI's "interest" payments to me were always comprised of my principal

investment and the principal investments of other victims.

53. In or around June, 2020, MAJESKI contacted me

either orally or in writing regarding a potential investment in 4415 Brockton

Avenue, Riverside, CA 92501, APN 217-060- 010-9 (the "Brockton Property"). In

or around June, 2020, I transferred MAJESKI a total of \$400,000 by and through

the LEE TRUST (\$100,000) and ACQUISITION (\$300,000) in 2020. MAJESKI provided

me with a deed of trust that purported to provide those entities with a

security interest in the property. I have attached as Exhibit "5" hereto a true and correct copy of the three wire transfer receipts evidencing these transactions.

57. MAJESKI never recorded any of the assignments

he purportedly made for the LEE TRUST or ACQUISITION. MAJESKI continued to make "interest payments" to the LEE TRUST and ACQUISITION until approximately March of 2023, when MAJESKI ceased all payments to me and my entities. On information and belief, MAJESKI's "interest" payments to me were always comprised of my principal investment and the principal investments of other victims.

58. In or around September, 2019, MAJESKI

contacted me either orally or in writing regarding a potential investment in

3035 Tyler Street, Riverside, CA 92503, APN 138222002 (the "Tyler Property"). I

transferred MAJESKI \$122,000 on behalf of the LEE TRUST and ACQUISITION in

October, November, and December of 2019 which MAJESKI represented was secured

by the Tyler Property. I have attached as Exhibit "6" hereto a true and correct

copy of the domestic wire transfer receipts totaling \$112,000 and copy of the

\$10,000 check evidencing these transactions.

61. MAJESKI never recorded any of the assignments

he purportedly made for the LEE TRUST or ACQUISITION. MAJESKI continued to make

"interest payments" to the LEE TRUST and ACQUISITION until approximately

February of 2023, when MAJESKI ceased all payments to me and my entities. On information and belief, MAJESKI's "interest" payments to me were always comprised of my principal investment and the principal investments of other victims.

(Gar

Lee Decl. ¶¶ 23, 32-36, 39-40, 44-45, 48-49, 52-53, 57-58, 61.)

Thus, Plaintiffs have established

that Gar Lee transferred \$1,310,000 to Majeski, which he then transmitted to his various companies sued herein, but Plaintiffs have not adequately accounted for the interest payments Majeski made back to them.

Plaintiffs also advance the

Declaration of Zach Goldberg, which provides:

12. In August, 2018, MAJESKI contacted me and offered the opportunity to invest in 13444 Roselle Avenue, Hawthorne, CA 90250, APN 4050-028-062 (the "Roselle Property"). MAJESKI represented that a third party was the property purchaser, and that MAJESKI was offering funding through his companies. In reliance on that representation, in or around August, 2018, I then transferred MAJESKI a total of \$40,000 by and through ATW. I have attached as Exhibit "1" hereto a true and correct copy of the document(s) reflecting that payment.

16. Since my initial investment, MAJESKI made

"interest" payments to me consistent with our agreement. Those payments

continued even after the sale to the St. Clair individuals until in or around

July of 2022, when MAJESKI ceased paying me entirely. On information and

belief, MAJESKI's payments on the Roselle Property were not actually interest

at all, but were repayments of ATW's principal investment and the principal

investments of other victims.

17. In December, 2018 MAJESKI contacted me and

offered the opportunity to invest in 4415 Brockton Avenue, Riverside, CA 92501,

APN 217-060-010-9 (the "Brockton Property"). In or around December, 2018, I

then transferred MAJESKI a total of \$100,000 by and through the GOLDBERG TRUST

(\$40,000) and ATW (\$60,000). I have attached as Exhibit "2" hereto a true and

correct copy of document(s) reflecting those payments.

22. MAJESKI never recorded any of the assignments

he purportedly made for the GOLDBERG TRUST or ATW related to this property, and

on information and belief made the "interest" payments to those same entities

out of the principal investments and other principal investments of third

parties. Those payments stopped in or around July of 2022, along with all the

other payments.

23. In August, 2018, MAJESKI contacted me and

offered the opportunity to invest in 24951 Seagate Drive, Dana Point, CA 92629,

APN 682-351-32 (the "Seagate Property"). In August, 2018, I then transferred

MAJESKI a total of \$20,000 by and through ATW. I have attached as Exhibit "3"

hereto a true and correct copy of the document(s) reflecting that payment.

24. In actuality, MAJESKI acquired the Seagate

Property in or around July 28, 2016 through PHIL ANTHROPY HOUSE ("PAH"). In

2018, PAH "borrowed" approximately \$380,000 from SOVEREIGN, and SOVEREIGN

recorded an assignment of a 5.263% fractional interest to ATW for my \$20,000

investment.

25. On or around July 23, 2020, MAJESKI signed a

"full reconveyance" of the loan on behalf of SOVEREIGN, prepared by MAJESKI's

attorney Ron Appel. At the same time, California TD Specialists (a third-party

entity) purported to sign a full reconveyance of the same loan to SEAGATE

HOLDINGS, INC., a California Corporation ("SEAGATE"), a company controlled by

R. APPEL. R. APPEL purported to sell the Seagate Property to third parties

Tyler and Alyssa Hildt in January 2021 for approximately \$1.15 million.

26. Despite this sale, MAJESKI continued to make

"interest payments" to ATW until approximately July of 2022, when MAJESKI

ceased all payments to me and my entities. On information and belief, MAJESKI's

"interest" payments to ATW were always comprised of ATW's principal investment

and the principal investments of other victims.

27. In 2021, MAJESKI contacted me with the

opportunity to invest in 4275 Luther St., Riverside, CA 92506 (the "Luther

Property"). On or around December 6, 2021, I transferred MAJESKI a total of

\$60,000 by and through ATW. I have attached as Exhibit "4" hereto a true and

correct copy of documents reflecting that payment and an email exchange wherein

MAJESKI's secretary provides wire instructions and the terms of the deal.

31. KAB sold the Luther Property in or around

April, 2022. Despite this sale and the representations MAJESKI made through Ms.

Moss detailed above, MAJESKI continued to make "interest payments" to ATW and

me until approximately July of 2022, when MAJESKI ceased all payments to me and

my entities. On information and belief, MAJESKI's "interest" payments to ATW

were always comprised of ATW's principal investment and the principal

investments of other victims.

32. In 2021, MAJESKI contacted me with the

opportunity to invest in 1634 Portofino Drive, Yuba City, CA 95993, APN

59-400-036 (the "Portofino Property"). In January, 2021, I then transferred

MAJESKI a total of \$125,000 by and through ATW. I have attached a true and

correct copy of document(s) reflecting that payment as Exhibit "5" hereto. In

exchange for the investment, MAJESKI purported to assign the majority of a deed

of trust he owned to ATW and to provide "interest" payments amounting to 12% of the principal per year, as well as the return of the principal investment at the end of the term.

34. On information and belief, MAJESKI's

"interest" payments to ATW were always comprised of ATW's principal investment and the principal investments of other victims.

(Goldberg

Decl. ¶¶ 12, 16-17, 22-27, 31-32, 34.)

Thus, Plaintiffs have demonstrated

that Goldberg transferred an additional \$345,000. But again, Plaintiffs have not accounted for the interest payments Majeski made to Goldberg.

Further, Plaintiffs have not

demonstrated why they and their respective entities are jointly entitled to judgment for the full amount. While

Plaintiffs have adequately demonstrated that Majeski utilized his various entities as alter egos to effectuate the scam, the default judgment request does not differentiate among Plaintiffs and the amounts they are respectively entitled to. The Goldberg

Declaration also does not establish why his entity Advance the World is entitled to any judgment.

Further, \$1,310,000 plus \$345,000

equals \$1,655,000, not \$1,675,000, as requested.

Therefore,

the Court finds that Plaintiffs have not adequately substantiated the requested

damages, procedurally and substantively.

B. Prejudgment Interest

The

interest computation for the \$22,410.00 requested is stated as follows:

.

$\$1,675,000 \text{ principal balance} \times 10\% \text{ interest} \div 365 \text{ days/yr} =$

$\$458.90 \text{ daily interest}$

.

$\$458.90 \text{ daily interest} \times 876 \text{ days (from October 17, 2023 through}$

$\text{March 10, 2026)} = \$401,996.40.$

As discussed

above, Plaintiffs have substantiated only \$1,655,000, less the unspecified

interest payments Majeski made to them.

Therefore, the Court cannot award prejudgment interest on a principal

balance of \$1,675,000, as requested.

C. Attorneys' Fees and Costs

Code of Civil Procedure

section 1033.5, which outlines recoverable costs to a prevailing party under

Code of Civil Procedure section 1032, permits the recovery of attorneys' fees

when authorized by contract, statute, or law.

(Code Civ. Proc., § 1033.5, subd. (a)(10).) Code of Civil Procedure section 1021 provides

"[e]xcept as attorney's fees are specifically provided for by statute, the

measure and mode of compensation of attorneys and counselors at law is left to

the agreement, express or implied, of the parties [....]"

Similarly, Civil Code section

1717 provides "[i]n any action on a contract, where the contract specifically

provides that attorney's fees and costs, which are incurred to enforce that

contract, shall be awarded either to one of the parties or to the prevailing

party, then the party who is determined to be the party prevailing on the

contract, whether he or she is the party specified in the contract or not,

shall be entitled to reasonable attorney's fees in addition to other costs." (Civ. Code, § 1717, subd. (a).)

The Code of Civil Procedure defines the "prevailing party" as follows:

[T]he party with a net monetary recovery, a

defendant in whose favor a dismissal is entered, a defendant where neither

plaintiff nor defendant obtains any relief, and a defendant as against those

plaintiffs who do not recover any relief against that defendant. If any party

recovers other than monetary relief and in situations other than as specified,
the "prevailing party" shall be as determined by the court, and under those
circumstances, the court, in its discretion, may allow costs or not and, if
allowed, may apportion costs between the parties on the same or adverse sides
pursuant to rules adopted under Section 1034.

(Code

Civ. Proc., § 1032, subd. (a)(4).)

Plaintiffs have

neither provided a legal basis for their request for attorneys' fees, nor have
they substantiated the requested fees.

Plaintiff also requests \$1,926.50 in costs composed of \$435 in filing fees and \$1,491.50 in process server fees, and
\$370.00 in publication fees. (CIV-100.) Plaintiffs' request for costs will be granted,
provided that Plaintiffs are the prevailing parties in this action. (Code Civ.
Proc., § 1032, subd. (a)(4).)

CONCLUSION

For the foregoing

reasons, the Court denies Plaintiffs' request for default judgment without
prejudice.

Further, the

Court will continue the Order to Show Cause re Entry of Default Judgment to a

date which permits Plaintiffs ample time to cure the deficiencies noted in this ruling.

DATED: January 21, 2026 /s/_____

Michael

E. Whitaker

Judge

of the Superior Court